

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

**COMPLAINANTS’ MOTION FOR DISCOVERY RELATED SANCTIONS AND
OTHER RELIEF DUE TO RESPONDENTS’ FAILURE TO COMPLY WITH THE
DIRECTIVES OF THE PRESIDING OFFICER**

On December 10, 2020, the Presiding Officer issued a Remand Scheduling Order directing the respondents to provide various discovery (the “Order”). Due to respondents’ non-compliance with that Order, the undersigned, Counsel for complainants MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY (collectively “complainants”), now move, pursuant to FMC Rule 502.150(b), 46 C.F.R. 502.150(b), for an Order as follows:

- a. Directing that it be established as a matter of fact for the purposes of this litigation that MARINE TRANSPORT LOGISTICS, INC. (“MTL”) never provided any MTL itemized invoices for warehouse storage to Complainants for storage of the Mercedes and Porsche which are the subject of this action (with the sole exception being with regard to the Mercedes which was a copy of a final Invoice No.: 24261 for storage of the Mercedes for the period of May 4, 2013 to June 5, 2013 in the amount of \$150.00 [document Bates No.: DEF0271 identified below]);
- b. Directing that it be established as a matter of fact for the purposes of this litigation that MTL unlawfully listed Car Express & Import Inc. as the exporter and U.S. Principal Party in Interest (“USPPI”) for the export of the Mercedes in shipping documents prepared by MTL, including but not limited to invoices, MTL House Bills of Lading, and a Shipper’s Export Declaration filed by MTL with the U.S. Customs and Border Protection;

- c. Directing that it be established as a matter of fact for the purposes of this litigation that MTL having listed Car Express & Import Inc. as the exporter and USPPI for the export of the Mercedes is proof of and establishes that the unjust and unreasonable acts of MTL complained of herein occurred on a normal, customary, and continuous basis, as required under the section 41102(c) interpretive rule. 46 C.F.R. § 545.4; Final Rule, 83 Fed. Reg. at 64479;
- d. Prohibiting MTL from supporting, with documentary evidence (via an Order of Preclusion), its defenses to complainants' claims that, at the very least, MTL misdelivered complainants' Mercedes and Porsche to Dubai, and at the worst, unlawfully exercised a maritime lien on the cars for ocean freight and other charges unrelated to the export of the Mercedes and Porsche, in violation of 41102(c) of the Shipping Act;
- e. Precluding MTL from introducing into evidence an email from MTL's counsel, dated December 29, 2020 and the attachment to said email "Invoices to MAVL (Mercedes), 16-16.pdf" which contains seven (7) Invoices, numbered: 18091, 20622, 23343, 23344, 24261, 25551, and 27830";
- f. Precluding MTL from introducing into evidence two emails from MTL's counsel, dated January 11, 2021 and January 13, 2021 together with the attachments to said emails;
- g. Striking MTL's Answer to the Complaint, and directing complainants to file a Motion for a Default Judgment against MTL;
- h. Revising the briefing schedule set forth in the December 10, 2020 Order for the filing of the parties' briefs on remand, in order to allow for time to file briefs on remand which does not conflict with the Presiding Officer's recent briefing schedule for conduct of discovery which involves the same counsel herein and who represent the parties in the matter of *Nnabugwu Chinedu Andrew et al. v. Marine Transport Logistics Inc., et al.*, (FMC Docket No.: 20-12); and
- i. Staying further proceedings with regard to complainants' claims against respondent Dimitry Alper.¹

¹ For purposes of clarity, the relief sought herein is directed towards respondent MTL only, and complainants represent that ongoing efforts to settle complainants' claims with regard to Mr. Alper have been extremely productive and will likely result in discontinuance of those claims. As such, complainants wish to avoid burdening Mr. Alper and his counsel with responding to this motion.

RELEVANT PROCEDURAL HISTORY

Up front, complainants ask the Presiding Officer to note that MTL's untimely responses (which were ultimately non-responsive) to the Presiding Officer's December 10, 2020 Order regarding discovery (including MTL's non-responsive emails as late as January 13, 2021 described below) has placed complainants in the untenable position of having to seek relief from the Presiding Officer. The Commission is once again burdened with motion practice in lieu of the parties proceeding with this matter on remand on the merits, with requested discovery in hand, as originally scheduled pursuant to the Presiding Officer's December 10, 2020 Order.

As the Presiding Officer may recall, On October 29, 2020, the Commission issued a Memorandum Opinion and Order remanding complainants' section 41102(c) claim regarding the Mercedes for further proceedings. In addition, the claim regarding the Porsche had been stayed pending the Commission's order. On October 30, 2020, an order was issued requiring the parties to file a status report addressing the next steps in this proceeding.

On December 2, 2020, the parties filed a joint status report ("JSR").² In the JSR, complainants identified five areas where they requested additional discovery, and both sides stated their positions on each discovery request. The Complainants' requested discovery and the complainants' argument in support of receiving the discovery as stated in the JSR are repeated from the JSR below:

- I. The five (5) MTL Itemized Invoices for storage of the Mercedes allegedly issued by MTL and allegedly provided to Maxim Ostrovskiy and which are identified in the Court's Docket in the matter of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.* (U.S.D.C. – E.D.N.Y. Docket No.: 1:13-cv-07110-SLT-RLM) in Document 12, Page ID: 181-183. Complainants explained in the December 2, 2020 JSR that this entry on the Court's Docket contains an email dated May 9, 2013 with an attached MTL "Open Invoices" List, identifying MTL Invoice Nos.: 18091, 19098, 20622, 23343, 23344, and 24261, together with a copy of final

² For reasons unknown, the JSR is not available on the Commission's Docket. Therefore, a copy of same is provided herewith as Appendix "A" for the Presiding Officer's reference.

invoice No.: 24261 in the amount of \$150.00. ***In addition to the five (5) MTL Itemized Invoice Nos.: 18091, 19098, 20622, 23343 and 23344, complainants requested proof that these invoices were actually provided to complainants.***³

Complainants' Position: As set forth repeatedly in the Court's record in the matter of MAVL, *supra*, plaintiffs therein assert that they never received any of the five (5) storage invoices set forth in the MTL "Open Invoices" List attached to MTL's May 9, 2013 email, and that they only received the final invoice 24261 on May 9, 2013, together with the MTL "Open Invoices" List.

As can be seen on MTL Invoice 24261 (which would also be noted on the remaining five invoices listed on the MTL "Open Invoices" List) all monies allegedly due to MTL for storage of the subject Mercedes "...must be received no later than 10 business days after sailing date". This completely begs the question as to whether or not MTL's theory of having a "warehouse lien" over the cars holds any water.

Since complainants assert: a) that they never received the invoices except for MTL Invoice 24261 on May 9, 2013; b) that there was no warehouse lien; and c) that the cars were misdelivered, the requested documents go towards establishing complainants' 46 U.S.C. 41102(c) claim on the issues of whether or not respondents' complained of practices or regulations relate to or are connected with receiving, handling, storing, or delivering property; whether the practice or regulation is unjust or unreasonable; and, whether the practice or regulation is the proximate cause of the claimed loss.

II. All documents, emails, writings, notes, receipts, correspondence and the like identifying, indicating, or otherwise demonstrating the manner in which MTL issued and provided any MTL Itemized Invoices for warehouse storage to complainants for storage of the Porsche.

Complainants' Position: Complainants assert: a) that MTL never issued MTL Itemized Invoices for warehouse storage; b) that there existed no warehouse lien; and c) that MTL could not be the Beneficial Cargo Owner for the Porsche. Complainants also assert that the Porsche was at the very least misbelieved. The requested documents go towards

³ As explained herein, MTL has failed to provide any proof whatsoever that these invoices were ever provided to complainants.

establishing complainants' 46 U.S.C. 41102(c) claim on the issues of whether or not respondents' complained of practices or regulations relate to or are connected with receiving, handling, storing, or delivering property; whether the practice or regulation is unjust or unreasonable; and, whether the practice or regulation is the proximate cause of the claimed loss.

- III. All documents, emails, writings, notes, receipts, correspondence and the like identifying, indicating, or otherwise demonstrating the manner in which Car Express & Import Inc. became listed the exporter and U.S. Principal Party in Interest ("USPPI") of the Mercedes as set forth in the Shipper's Export Declaration which was filed electronically by MTL with the United States Department of Commerce through the online Automated Export System known as "AES".

Complainants' Position: During the course of discovery in the matters of MAVL, *supra* and World Express, *supra*, a printout from the AES online system was produced which contains an AES ITN No.: X20130821010350. That AES ITN number was generated as a result of the AES filing and is the very same AES ITN number listed on the Ocean Liner Bill of Lading for the Ocean Liner which shipped the cars. The AES printout also lists Car Express & Import Inc. as the exporter and USPPI for that shipment.

As set forth above, in this matter the parties are in dispute as to the nature of MTL's role regarding this shipment (vis-à-vis NVOCC or BCO), whether MTL had allegedly asserted a warehouse lien or if the cars were misdelivered, and whether MTL had unlawfully asserted a maritime lien for shipments unrelated to this cargo. All of these issues are intertwined with the question of how Car Express & Import Inc. allegedly assumed ownership of the cars or was otherwise able to be listed as exporter and USPPI for that shipment in the AES printout and on what basis Car Express & Import Inc. was able to provide shipping instructions to MTL in order export the Mercedes.

Additionally, in MTL's Verified Amended Response to Plaintiff's Interrogatories to MTL in the matter of MAVL, *supra*, dated January 23, 2015, Alla Solovyeva explained as follows:

“The USPPI for the 2006 Mercedes SL65 AND 2011 Porsche Panamera was listed as Car Express & Import Inc...” (See, plaintiffs’ FRCP Rule 26 document production at page Bates No.: DEF0228)

Since it is respondents’ assertion that they asserted a warehouse lien and lawfully exported the cars to Dubai, that assertion is directly contradicted by the fact that in the matter of World Express, *supra*, there is evidence indicating that respondents purported to have purchased the cars from the auto auction known as “Copart” pursuant to invoices which are now demonstrated to have been faked and which are not part of Copart’s business records.

It cannot be disputed that this pattern of theft of cargo, fraud, lies, creation of false documents is indeed relevant to complainants’ 46 U.S.C. 41102(c) claim on the issues of whether or not the claimed acts or omissions of MTL are occurring on a normal, customary, and continuous basis; whether respondents’ complained of practices or regulations relate to or are connected with receiving, handling, storing, or delivering property; whether the practice or regulation is unjust or unreasonable; and, whether the practice or regulation is the proximate cause of the claimed loss.

On December 10, 2020, the Presiding Officer issued a Remand Scheduling Order which granted, in part, complainants’ request for additional discovery. Specifically, the Order explained as follows:

Complainants also request five MTL itemized invoices for storage of the Mercedes ***and proof that the invoices were actually provided to Complainants***; and all documents, emails, writings, notes, receipts, correspondence and the like identifying, indicating, or otherwise demonstrating the manner in which MTL issued and provided any MTL itemized invoices for warehouse storage to Complainants for storage of the Porsche. If Respondents intend to rely on these documents, they should have already been provided to Complainants. If they have not, any responsive documents should be provided by the deadline below.⁴

⁴ Complainants again respectfully ask the Presiding Officer to note that with regard to the five (5) MTL Itemized Invoice Nos.: 18091, 19098, 20622, 23343 and 23344, that ***complainants requested proof that these invoices were actually provided to complainants***. (See, JSR of December 2, 2020, a courtesy copy of which is provided herewith). Complainants again ask the Presiding Officer to note that to the extent that MTL attempts to explain or testify through its counsel that invoices for storage of the Porsche were sent to an entity unrelated to this action and unrelated to complainants (to wit: Middle East Asia Alfa), ***that this is not proof that the invoices were provided to complainants***.

Finally, Complainants request all documents, emails, writings, notes, receipts, correspondence and the like identifying, indicating, or otherwise demonstrating the manner in which Car Express & Import Inc. became listed as the exporter and U.S. Principal Party in Interest (“USPPI”) for the Mercedes. This is the only discovery sought that is identified as relevant to the issue of whether the claimed acts were occurring on a normal, customary, and continuous basis. Respondents are ordered to respond to this request by the deadline below.

The Order directed MTL to produce the above referenced documents by January 5, 2021.

On January 11, 2021, and after MTL’s failure to comply with the December 10, 2020 directives of the Presiding Officer, the undersigned counsel wrote to Mr. Pogil to address the issue of respondents’ failure to comply with the December 10, 2020 Order and a copy of that email is annexed hereto as Appendix “B”. Pursuant to that email, complainants explained that they were attempting to confer in good-faith with MTL in an effort to obtain compliance without the necessity of a motion. Mr. Pogil responded to that email on January 11, 2021 and on January 13, 2021, copies of which are annexed hereto as Appendix “C” and “D”.

ARGUMENT

Standard of Review

FMC Rule 502.150(b), 46 C.F.R. 502.150(b) reads, in relevant part, as follows:

Failure to comply with order compelling disclosures or discovery. If a party or a party's officer or authorized representative fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party may make such orders in regard to the failure or refusal as are just. A motion must include a certification that the moving party has conferred in good faith or attempted to confer with the disobedient party in an effort to obtain compliance without the necessity of a motion. An order of the presiding officer may:

- (1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims;
- (2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or

- (3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.

For the reasons set forth below, complainants now seek the relief provided for in FMC Rule 502.150(b), 46 C.F.R. 502.150(b) due to MTL's failure and refusal to obey the December 10, 2020 Order requiring it to make disclosures and respond to discovery requests. For the additional reasons set forth below, complainants now also seek the relief provided for in applicable federal precedent and the Federal Rules of Civil Procedure pursuant to Rule 502.12, 46 C.F.R. 502.12 due to MTL having committed fraud upon the Commission by having submitted falsified evidence to this Commission.

FMC Rule 502.12, 46 C.F.R. 502.12 reads, in relevant part, as follows:

In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.

Seek Dismissal or Default

If an opposing party has engaged in falsification, one potential response is to ask the court to throw the party out of court. Courts have long recognized their own inherent power to protect themselves and other parties from various forms of bad faith litigation, including the falsification of evidence. As the Supreme Court emphasized, in Hazel Atlas Glass Co. v. Hartford-Empire Co., this inherent power is a crucial mechanism for protecting the integrity of the judicial process:

[T]ampering with the administration of justice in the manner indisputably shown here involves far more than an injury to a single litigant. It is a wrong against the institutions set up to protect and safeguard the public, institutions in which fraud cannot complacently be tolerated consistently with the good order of society...The public welfare demands that the agencies of public justice be not so impotent that they must always be mute and helpless victims of deception and fraud.⁵

⁵ 322 U.S. 238, 246 (1944).

The inherent power to “fashion appropriate sanction[s] for conduct which abuses the judicial process” was reaffirmed by the Supreme Court in Chambers v. NASCO, Inc.⁶

Where falsification occurs in the midst of ongoing judicial proceedings, and is specifically directed at affecting those proceedings, it often is termed “fraud on the court.” A court, as an exercise of this inherent authority, may sanction fraud on the court through default (if the falsifier is the defendant).⁷ Some lesser sanctions—such as awards of attorney fees or adverse findings on particular issues are also discussed below. But some courts also have recognized that falsification can be so serious an affront to the judicial system that a Court can impose the sanction of dismissal or default even without first considering or imposing lesser sanctions.

For example, in Oliver v. Gramley, the Seventh Circuit upheld a sanction of dismissal where the plaintiff had submitted a false affidavit relating to the filing and service of a habeas petition, even though the district court had not explicitly considered less severe sanctions. Judge Posner, writing for the court, concluded that this falsification was “so egregious, inexcusable, and destructive that no lesser sanction than dismissal with prejudice could be adequate.”⁸

In addition to inherent powers, courts may also have authority to impose the sanction of dismissal or default under various procedural rules. For example, Rule 37 of the Federal Rules of Civil Procedure provides an alternative basis for a court’s authority to impose the sanction of

⁶ 501 U.S. 32, 44 (1991).

⁷ See, e.g., Tramel v. Bass, 672 So. 2d 78, 82 (Fla. Dist. Ct. App. 1996) (affirming default judgment against defendant who excised damaging six-second portion of videotape before producing it during discovery).

⁸ 200 F.3d 465, 466 (7th Cir. 1999).

dismissal or default, where the falsification amounts to a “fail[ure] to comply with the rules of discovery or with court orders enforcing those rules.”⁹

Rule 11 of the Federal Rules of Civil Procedure provides similar authority where a party’s falsification manifests itself as false allegations or denials in the party’s pleadings.¹⁰

Seek Recovery of Monetary Sanctions

All of the various sources of a court’s authority to impose the sanction of dismissal or default also permit a court to impose monetary sanctions. The most common form of monetary sanction is an award of the attorney fees and expenses incurred by the other side of the case. The fees and expenses awarded do not need to bear a direct causal connection to particular acts of falsification. Rather, as the Supreme Court recognized in Chambers, *supra*, once a party sets out on a course of bad faith litigation, it taints the entire litigation, and the court may vindicate itself by requiring the bad faith litigator to pay all of its opponent’s attorney fees and expenses.¹¹

A court also may impose additional monetary sanctions—in the form of fines or punitive damages above and beyond the specific amount of the innocent party’s fees and expenses.¹²

As explained below, and as a result of MTL having committed fraud upon the Commission by having submitted falsified evidence to this Commission (by way of falsified invoices identified below), complainants additionally seek relief at the Presiding Officer’s discretion pursuant to the standard of review set forth above.

⁹ See, Wyle v. R.J. Reynolds Indus., Inc., 709 F.2d 585, 589 (9th Cir. 1983).

¹⁰ See, e.g., Jimenez v. Madison Area Technical Coll., 321 F.3d 652 (7th Cir. 2003).

¹¹ 501 U.S. at 56–57; see also Synanon Found., Inc. v. Bernstein, 517 A.2d 28, 43 (D.C. 1986) (once a party embarks on a “pattern of fraud,” and “[r]egardless of the relevance of these [fraudulent] materials to the substantive legal issue in the case,” this is enough to “completely taint [the party’s] entire litigation strategy from the date on which the abuse actually began”).

¹² Jemison v. Nat’l Baptist Convention, 720 A.2d 275, 285 (D.C. 1998) (punitive damages may be imposed if court finds that bad faith litigator acted with malice).

MTL's Emails of December 29, 2020, January 11, 2021 and January 13, 2021 Do Not Comply with the December 10, 2020 Order of the Presiding Officer

The December 29, 2020 Email from MTL

In MTL's email (via its counsel) of December 29, 2020 (Appendix "E"), Mr. Pogil explained as follows in said email which contained two (2) attachments (annexed hereto as Appendix "F" and "G"):

"Good afternoon,

Attached are the additional documents that were found so far on the 16-16 matter."

The first file attachment to the email is named: "Invoices to MAVL (Mercedes), 16-16.pdf" and contains seven (7) Invoices, numbered: 18091, 20622, 23343, 23344, 24261, 25551, and 27830 (See Appendix "F") and are bates numbered for purposes of this motion as SANCTIONS001-SANCTIONS007. The second attachment to the email is named: "Attempts to Contact Complainants (16-16) Ex. B.pdf" and contains five (5) pages bates numbered for purposes of this motion as SANCTIONS008-SANCTIONS012 (See Appendix "G").¹³

In the first instance, despite having been ordered to provide "proof" that all seven (7) invoices were actually provided to complainants, no such proof was provided - - a clear violation of the December 10, 2020 Order. Additionally, and due to the lengthy history of this proceeding

¹³ We ask the Presiding Officer to note that all five (5) pages from this particular attachment (identified as: "Ex. B") were previously produced by MTL in the matter of World Express & Connection Inc. v. Crocus Investments, LLC et al., (U.S.D.C. – D.N.J. Docket No.: 15-cv-8126 (KM)(MAH), on the Court's Docket as Document 193-11, filed on 12/28/19 at Page ID: 5700-5704 (copies of which are annexed hereto as Appendix "H"). While MTL previously produced the foregoing, MTL also previously produced Invoice No.: 24261 (Bates No.: DEF 0271) (for the period from "05/04-06/05") in the matter of MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al. (U.S.D.C. – E.D.N.Y. Docket No.: 1:13-cv-07110-SLT-RLM) in Document 12, Page ID: 183. The point is that there was nothing new produced by MTL in the December 29, 2020 email and nothing which complies with the Presiding Officer's Order of December 10, 2020. MTL additionally previously produced the document entitled "MTL Open Invoices", with a Total amount of \$900.00 in the matter of MAVL, *supra* -- this document (which listed MTL Invoice Nos.: 18091, 19098, 20622, 23343, 23344, 24261 for \$150.00 each) did not attach the specific Itemized invoices, and is Bates numbered: DEF0270. (See DEF0268 – DEF271, Appendix "I".) Again, the point here is that there was nothing new produced by MTL in the December 29, 2020 email and nothing which complies with the Presiding Officer's Order of December 10, 2020 that MTL provide proof that the Invoices were ever provided to complainants.

and the related litigations in federal Court with which complainants and their counsel were intimately involved, complainants herein are very familiar with all documents previously produced by MTL in all proceedings.

Based upon a review of the record in this and the related matters in Federal Court, complainants can state with certainty that documents provided in Mr. Pogil's December 29, 2020 are altered versions of documents previously produced by MTL as explained in detail below. The Presiding Officer is familiar with the idiom that one who lies continuously will eventually lose track of those lies and will eventually be exposed - - this is one of those examples.

By way of example, MTL Invoice No.: 24261 for storage of the Mercedes for the period of May 4, 2013 to June 5, 2013 in the amount of \$150.00 (document Bates No.: DEF0271) was provided by MTL long ago and was attached as Exhibit "A" to the Declaration of Dimitry Alper, dated March 5, 2014 which was filed by MTL's counsel with the Court in opposition to MAVL's Order to Show Cause in Federal Court in the matter of MAVL, *supra*, (U.S.D.C. – E.D.N.Y. Docket No.: 1:13-cv-07110-SLT-RLM) in Document 12, Page ID: 183.¹⁴

After comparing this original MTL Invoice No.: 24261 previously provided in the 2014 Alper Declaration against the MTL Invoice No.: 24261 now attached to Mr. Pogil's December 29, 2020 email (SANCTIONS005), it is clear that MTL has forgotten about the previous disclosure and has now provided a "new" and altered version with various inconsistencies. Specifically, the Shipper in the original invoice was "Atlantic Cargo Logistics LLC" and the Shipper in the altered invoice is now "Car Express And Import Inc.".

¹⁴ We highlight that this document was provided to the Court by MTL as a true and accurate copy of the invoice on which MTL argued to the Court that MAVL's request for injunctive relief should be denied. Mr. Alper's Declaration is attached as Appendix "J" so that the Presiding Officer may compare Invoice 24261 from the Declaration against Invoice 24261 (SANCTIONS005) from Mr. Pogil's December 29, 2020 email (Appendix "E" and "F").

Also, the line item for the Storage Fee in the original invoice reads as follows:

Description of Charges	Quantity	Price	Amount
Storage Fee (5/04 – 6/05)	1.00	150.00	150.00

As the Presiding Officer can clearly see, the line item for the Storage Fee in the new version of the invoice reads as follows:

Description of Charges	Quantity	Price	Amount
Storage Fee (5/04/13 – 6/04/13)	31.00	10.00	310.00

The fact that MTL altered the language of the time period of storage on the invoices from “5/04 – 6/05” to “5/04/13 – 6/04/13” is clear, as well as the differences in the columns for Quantity, Price and Amount.

Further, all seven (7) invoices attached to Mr. Pogil’s December 29, 2020 email have varying amounts due per month (e.g. \$310.00 from May through June of 2013; \$300.00 from June to July of 2013; \$510 from July to August of 2013), all of which contradict with the fact that the monthly storage under the original invoices for these time periods was always consistently \$150.00 per month. The agreed monthly storage charge of \$150.00 per month was established on the record multiple times (in documents provided by MTL and by MTL’s admission of an agreement to storage charges in the sum of \$150.00 per month) as explained below.

By way of example, the MTL “Open Invoices” list which was attached to the above mentioned Declaration of Dimitry Alper (Appendix “J”), dated March 5, 2014 (U.S.D.C. – E.D.N.Y. Docket No.: 1:13-cv-07110-SLT-RLM) in Document 12, Page ID: 182, has a list of MTL Invoice Nos.: 18091, 19098, 20622, 23343 and 23344. All of these monthly invoices were for the sum of \$150.00 per month, and the “Open Invoices” list for all five invoices totaled the sum of \$900.00.

As to proof of the admitted agreement between MTL and complainants for monthly storage charges of \$150.00 for storage of the Mercedes, the Complaint filed by complainants herein on August 5, 2016 alleges at paragraph “30”, as follows:

30. Because of the commercial relationship between Complainants and MTL, MTL agreed to charge Complainants a monthly storage charge of \$150 for the storage of the 2006 Mercedes SL65.

MTL’s Answer to the Complaint, which MTL filed on September 6, 2016 admits to the agreed rate of \$150.00 per month, at paragraph “30” as follows:

30. Admits that Complainants agreed to pay MTL storage fees at a monthly rate of \$150, but except as so specifically admitted, denies the allegations contained in ¶ 30 of the Complaint.

Additionally, Mr. Alper’s aforesaid Declaration of March 5, 2014 explains on page “2” thereof (bates no.: DEF0262) at paragraph “9” that “Because of the commercial relationship between Plaintiffs and MTL, MTL Agreed to charge Plaintiffs a monthly storage charge of \$150 for the Storage of the 2006 Mercedes SL65”. In his deposition , taken on January 31, 2018, Mr. Alper testified that as of March 5, 2014, outstanding balance for Mercedes was \$900.00: ¹⁵

Q. What is the outstanding balance that's indicated on this document?

A. \$900.

Q. And as far as I understand, can you turn to Paragraph 12 of your declaration?

A. To date, \$900 remains unpaid.

Q. What is date of your declaration?

A. March 5, 2014.

See, Appendix “K” at p. 56/ln. 14-21).

¹⁵ The document referred to here was Exhibit Alper-6 from Mr. Alper’s Deposition, taken on January 31, 2018, from the matter of World Express, *supra*. The cover page from Mr. Alper’s deposition transcript and pp. 53-56 from the transcript explaining that Exhibit Alper-6 is his Declaration of March 5, 2015 (Appendix “J” described above) is annexed hereto as Appendix “K”.

For the reasons set forth above, the attachment identified by Mr. Pogil as “Invoices to MAVL (Mercedes), 16-16.pdf” (Appendix “F”) to the December 29, 2020 email of Mr. Pogil is non-responsive to the Presiding Officer’s Order of December 10, 2020.

With regard to the second attachment to Mr. Pogil’s email of December 29, 2020 entitled “Attempts to Contact Complainants (16-16) Ex. B.pdf” (Appendix “G”), on January 11, 2021, MTL sent an email to complainants herein which explained as follows:

“Invoice for storage fee is attached. Next invoice for \$150.00 will be generated on 2/03”.

(This email is on the Court’s Docket in the matter of World Express, *supra*, Docket No.: 2:15-cv-08126-KM-MAH, ECF 193-11, Filed on 12/28/19 at Page ID: 5704, a copy of which is annexed hereto as Appendix “L”). This very same email of January 11, 2021 (which was previously produced during discovery in the matter of World Express, *supra*) was included within the December 29, 2020 email from MTL’s counsel in the attachment named: “Attempts to Contact Complainants (16-16) Ex. B.pdf” bates numbered for purposes of this motion as SANCTIONS008-SANCTIONS012 (See Appendix “G”) – again, there is nothing new here and nothing which is responsive to the Presiding Officer’s December 10, 2020 Order.

The January 11, 2021 Email from MTL

In MTL’s email of January 11, 2021 (Appendix “C”), Mr. Pogil explained as follows:

Reference is made to paragraph 48 and 154 (and cited exhibits that were previously produced) of MTL’s response to defendants’ statement of material fact in the NJ matter. Car Express is a separate company from MTL and is a licensed automobile dealer that purchases vehicles from auctions.

Reference is also made to Invoice # 83636 that was provided to you that lists Car Express as the Shipper with respect to the Mercedes. I also believe Car Express paid to MTL the storage charges for the Mercedes that was abandoned by your client, which also goes to how Car Express can be the PPII. My client was away and will be back in the office tomorrow, so they will take a look...¹⁶

¹⁶ Complainants ask the Presiding Officer to note here that to the extent that Mr. Pogil’s January 11, 2021 email explains that it is his “belief” that Car Express “...paid to MTL the storage charges...” that this is unsupported

Reference is also made to your document #DEF0756-0757 along with the attachment.

I asked MTL to search if they have copies of any other documents in relation to the Porsche, but any such request should go to Car Express...

Beginning with the paragraph in MTL's email of January 11, 2021 and MTL's "reference" to "...paragraph 48 and 154 (and cited exhibits that were previously produced) of MTL's response to defendants' statement of material fact in the NJ matter..." and Mr. Pogil's explanation that "...Car Express is a separate company from MTL and is a licensed automobile dealer that purchases vehicles from auctions....", this paragraph of MTL's is non-responsive to the Presiding Officer's December 10, 2020 Order for the reasons set forth below. As explained below, neither Mr. Pogil's "reference" to paragraphs "48" and "154" nor any reference to documents bates numbered DEF0756-0757 from the matter of World Express, supra, establish the manner in which Car Express & Import Inc. became the exporter, shipper and USPPI of the Mercedes as required pursuant to the Presiding Officer's December 10, 2020 Order.

Mr. Pogil's email refers to paragraph "48" and "154" of MTL's response to the Third-Party Plaintiffs' Statement of Material Facts in Support of Their Cross-Motion for Summary Judgment in the matter of *World Express & Connection Inc. v. Crocus Investments, LLC et al.*, (U.S.D.C. – D.N.J. Docket No.: 15-cv-8126 (KM)(MAH). The Statement of Material Facts is annexed hereto as Appendix "M" and MTL's Response is annexed hereto as Appendix "N".

Beginning with the Third-Party Plaintiffs' Statement of Material Facts in Support of Their Cross-Motion for Summary Judgment (Appendix "M"), paragraph "48" reads as follows:

testimony by counsel which may be summarily disregarded. In this paragraph, complainants also have no idea what Mr. Pogil's reference to a "PPII" is. To the extent that respondents were "away", while complainants have learned of respondents' travel plans for the first time, we note that in light of such plans, that respondents never sought an extension of time from the Presiding Officer to produce documents responsive to the December 10, 2020 Order.

48. Alla Solovyeva, Raya Bakhirev, Aleksandr Solovyev, Alper, and Roman Chernin were personally and intimately involved in the fraudulent activity alleged in the Third-Party Complaint. With specific regard to the misrepresentations made to Third-party plaintiffs regarding Third-Party Defendants' ownership of the subject Mercedes and Porsche, the Court is respectfully referred to MTL's Amended Response to Plaintiffs' Interrogatories from the matter of MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al. (U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07110-SLT-RLM) (Produced as Bates Nos. DEF0227-DEF0232 in this matter and annexed hereto as Exhibit "V") wherein Alla Solovyeva offers testimony under oath regarding the Automated Export System (AES) Shipment Record filed by MTL with the U.S. Department of Commerce for the subject Mercedes and Porsche. She explains, inter alia as follows: "The USPPI for the 2006 Mercedes SL65 and 2011 Porsche Panamera was listed as Car Express and Import Inc...". (See, page bates no. DEF0228).¹⁷

Complainants note briefly here that Alla Solovyeva's conclusory testimony cited above does not establish the manner in which Car Express & Import Inc. became the exporter, shipper and USPPI of the Mercedes as required pursuant to the Presiding Officer's December 10, 2020 Order.

MTL's "Response" to this paragraph (in Appendix "N") reads as follows:

48. Denied and the objection is made pursuant to Rule 56(c)(2) in that the material cited would not be admissible in evidence, in that such material is not relevant to any claim or defense asserted as such is the subject litigated in a different proceeding, with such proceeding terminating in MTL's favor and is currently on appeal. (Attached as Exhibit "2" is the decision by the Hon. Pamela K. Chen, U.S.D.J.).¹⁸

Without waiving this objection, the following is a response: There is absolutely no evidence of any fraudulent activity and Plaintiff's own summary judgment motion along with its motion papers are being incorporated into this response. Both subject vehicles had successfully passed customs and were delivered to the Crocus defendants. (Ex. "3" is the MAERSK Line Waybill).¹⁹ As Mr. Safonov

¹⁷ The Exhibit "V" referred to in this paragraph is annexed hereto as Appendix "O".

¹⁸ The decision by the Hon. Pamela K. Chen is annexed hereto as Appendix "P". This decision has absolutely nothing to do with the issue of the manner in which Car Express & Import Inc. became the exporter, shipper and USPPI of the Mercedes as required pursuant to the Presiding Officer's December 10, 2020 Order. The Decision dealt with the issue of whether plaintiffs could maintain a claim against MTL and others pursuant to the Racketeer Influenced and Corrupt Organizations Act ("RICO"), 18 U.S.C. §§ 1961 et seq.

¹⁹ The MAERSK Waybill referred to in this paragraph is annexed hereto as Appendix "Q" and has absolutely nothing to do with the issue of the manner in which Car Express & Import Inc. became the exporter, shipper and USPPI of the Mercedes.

testified, the subject vehicles arrived in Dubai and that he saw such. (Plaint. Br. Ex. “3” at p. 43:4-19).²⁰

Additionally, this allegation states that it was a misrepresentation of ownership when Alla Solovyeva said that the USPII for the subject vehicles was listed as “Car Express and Import Inc.” It is not explained how Mr. Nussbaum believes this translates into fraud. The U.S. Customs & Border Protection defines USPII (U.S. Principal party in Interest) as “the person or legal entity in the United States that receives the primary benefit, monetary or otherwise, from the export transaction. Generally, that person or entity is the U.S. seller, manufacturer, or order party, or the foreign entity while in the United States when purchasing or obtaining the goods for export.” (Ex. “4”, is the printout from the website of U.S. Customs & Border Protection).²¹

The Porsche was financed by Royal Finance and bought by Car Express as the dealer from IAA Buyer auction — both companies of Aleksandr Solovyev (See ECF 17, paragraphs 14-21; and Ex. “5” is the Wire confirmation to IAA Buyer auction). The invoice from Wave Transport lists Car Express & Import, Inc as the shipper — such is attached here as Ex. “6”²²

As additional proof that there was no misrepresentation as to ownership is MTL’s Dock Receipt, which lists the consignee of the subject vehicles as Middle East Asia Alfa FZE. (Ex. “7”). The consignee is the only individual that can receive the cargo. It is submitted that this fact eliminates any assertion of fraud because it was Middle East Asia Alfa FZE (and Mr. Safonov as its owner) who was listed on all shipping documents as the only to receive the subject vehicles.

Any misrepresentation of ownership actually comes from Mr. Nussbaum’s own clients in previous matters dealing with the same subject vehicles (FMC Docket No. 16-16). For example, in the verified complaint (verified by non-party Maxim Ostrovskiy), he says: “The respondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for profit.” (Ex. “8”, Paragraph 35).

²⁰ The relevant portion of this deposition transcript is annexed hereto as Appendix “R” and has absolutely nothing to do with the issue of the manner in which Car Express & Import Inc. became the exporter, shipper and USPII of the Mercedes.

²¹ This Website printout is annexed hereto as Appendix “S” and has absolutely nothing to do with the issue of the manner in which Car Express & Import Inc. became the exporter, shipper and USPII of the Mercedes.

²² To the extent that MTL purports to have relied upon an invoice from Wave Transport (identifying Car Express as Shipper) in their opposition to Third-Party Plaintiffs’ Statement of Material Facts in Support of Their Cross-Motion for Summary Judgment in the matter of World Express, *supra*, we provide for the Presiding Officer’s reference the original Bill of Lading for the inland transport of the Porsche which was produced by Mr. Pogil’s predecessor (Mr. Eric Chang, Esq.) on behalf of MTL in response to a document request for documents related to the inland transportation of the Porsche. This Bill of Lading from Y&N Towing Transport does not mention Car Express in any capacity whatsoever, and also has a sticker with handwriting which reads as follows: “Max Ostrovskiy” (See DEF0770, Appendix “T”). This document has absolutely nothing to do with the issue of the manner in which Car Express & Import Inc. became the exporter, shipper and USPII of the Mercedes.

However, in another filing under the same docket (Complainant's Reply), Mr. Ostrovskiy (via Mr. Nussbaum) says: "it remains undisputed that the respondents shipped complainants' Mercedes to Dubai, under complainants' original title and then claimed to have executed a lien on said vehicle, allegedly pursuant to the terms and conditions of the MTL Bill of lading. Therefore, ownership of the Mercedes was transferred at the time that the new title was issued in Dubai." (p.3). This evidences an inconsistency in that the complaint alleges that conversion took place before shipment and a later filing says the shipment was done under the original title and conversion took place in Dubai.

Aleksandr Solovyev's financial interest in the subject transactions were described in his deposition testimony before the Federal Maritime Commission on November 20, 2015 — such excerpts are attached here as Ex. 18: pages 52, 88, and 89 and quoted below:

Q. Any of your companies, were they getting paid for all of this for arranging everything?

A. Yes.

Q. Which company?

A. Royal Finance Group commission for financing, Car Express for commission for the buying boat; some commission was put on top for buying trailers for the customers. And no commission on the shipping with Marine Transport.

Q. What was your agreement? Was it for you to make some money off of the profit and/or were you just purely providing the cars for them for a commission?

A. No, usually they were buying cars or boats or parts in their own money. Do not ask me about whatever I would be participating as a business. I never participate in their business.

An additional disagreement is being made with respect to the cited Third-Party Complaint allegations as against MTL and Alla Solovyeva (owner of MTL). As MTL's Bill of Lading points out, MTL's client was Andrey Tretiyakov of Middle East Asia Alfa FZC. (Ex. 20). Minutes of a meeting of the board of directors of "Middle East Asia Alfa LTD" lists Andrey Tretiyakov as the co-owner — neither Crocus companies or Mr. Safonov appear as owners or in any other capacity on this document. (Ex. 21). Mr. Safonov was asked about this during his deposition. Mr. Safonov states in the following exchange that his company has the same name as Mr. Tretiyakov, with the only difference being between "LTD" & "FZE", however, no documentary proof of such was provided to the undersigned. (See. Plaint. Br. Ex.3 to Plaint. Br, pp. 14-18).

As the Presiding Officer can see, none of the foregoing is responsive to the Presiding Officer's Order of December 10, 2020 in that MTL's email of January 11, 2021 and Mr. Pogil's "reference" to "...paragraph 48 ... (and cited exhibits that were previously produced) of MTL's response to defendants' statement of material fact in the NJ matter..." in that the foregoing has absolutely nothing to do with the issue of the manner in which Car Express & Import Inc. became the exporter, shipper and USPPI of the Mercedes.

The Third-Party Plaintiffs' Statement of Material Facts in Support of Their Cross-Motion for Summary Judgment (Appendix "M"), paragraph "154" reads as follows:

154. Additionally, on July 24, 2017 the New York State Department of Motor Vehicles responded to a request pursuant to the Freedom of Information Law ("FOIL") for records of Car Express inasmuch as it was a licensed automobile dealer. A copy of the DMV's FOIL response is annexed hereto which indicates that in the Abstract of Title Record for the Formula, the last registrant of the boat was listed as "Christopher J. Leahy" and that the registration expired on "4/13" (See, Exhibit "PPP" at Bates no.: DEF0499). No further title was issued for the boat as can be seen on page bates numbered (See, Exhibit "PPP" at DEF0501), which states as follows:

"NO TITLE ISSUED – CONTACT TITLE BUREAU AT 518-486-4714 TO VERIFY OWNER INFO".²³

MTL's "Response" to this paragraph (in Appendix "N") reads as follows:

154. Disagree. There was a previous judicial determination in the MAVL litigation that "Car Express is a licensed automobile dealer that purchases used and salvage cars from auctions and dealerships..." (See Ex. p.4). It is, therefore, being submitted that the fact that as Mr. Nussbaum claims "No further title was issued for the boat is of no significance as the vehicle/boat is not required to be titled under the car dealer's name.

As the Presiding Officer can see, none of the foregoing is responsive to the Presiding Officer's Order of December 10, 2020 in that MTL's email of January 11, 2021 and MTL's "reference" to "...paragraph ... 154 (and cited exhibits that were previously produced) of MTL's response to defendants' statement of material fact in the NJ matter..." in that the foregoing has

²³ The Exhibit "PPP" referred to in this paragraph is annexed hereto as Appendix "U".

absolutely nothing to do with the issue of the manner in which Car Express & Import Inc. became the exporter, shipper and USPPI of the Mercedes.

With regard to Mr. Pogil's statements regarding Car Express in the January 11, 2021 email, those statements are non-responsive to the Presiding Officer's December 10, 2020 Order. As stated above, in Mr. Pogil's email of January 11, 2021 on behalf of MTL (Appendix "C"), Mr. Pogil explained as follows:

Car Express is a separate company from MTL and is a licensed automobile dealer that purchases vehicles from auctions.

I asked MTL to search if they have copies of any other documents in relation to the Porsche, but ***any such request should go to Car Express...***

For the reasons set forth below, Mr. Pogil's aforesaid statement on behalf of MTL is patently false and was knowingly and willfully stated with the knowledge of its falsity, in that it has been well established and cannot be disputed that Car Express is inextricably intertwined with MTL and is for all intents and purposes, an alter ego of MTL.

First, in the ALJ's Findings of Fact in the Presiding Officer's Initial Decision in the matter of *Crocus Investments, LLC, et al. v. Marine Transport Logistics Inc., et al.*, (FMC Docket No.: 15-04) dated June 17, 2016, at FF# 28 on page "12" the Presiding Officer found that:

"At times, Solovyev or one of his companies acts as agent for MTL."

Second, in the Initial Decision on Remand in that matter (FMC Docket No.: 15-04) dated December 9, 2020, the Presiding Officer found as follows:

11. Solovyeva is the sole owner, officer, and director of Car Express & Import, Inc. ("Car Express"). ALJFF 20.
13. Solovyeva is the sole owner, officer, and director of Respondent Royal Finance Group, Inc. ("RFG"). ALJFF 22.

14. Solovyeva is the owner, officer, and director of World Express & Connection, Inc. (“World Express”). ALJFF 23.
19. At times, Solovyev or one of his companies acts as agent for MTL. ALJFF 28.

With regard to Mr. Pogil’s “reference” to MTL Invoice No.: 83636 in his January 11, 2021 email, those statements are non-responsive to the Presiding Officer’s December 10, 2020 Order. As stated above, in Mr. Pogil’s email of January 11, 2021 on behalf of MTL (Appendix “C”), Mr. Pogil explained as follows:

Reference is also made to Invoice # 83636 that was provided to you that lists Car Express as the Shipper with respect to the Mercedes. I also believe Car Express paid to MTL the storage charges for the Mercedes that was abandoned by your client, which also goes to how Car Express can be the PPII. My client was away and will be back in the office tomorrow, so they will take a look...

In the first instance, there never existed any invoice numbered “83636”. As explained above, in MTL’s email (via its counsel) of December 29, 2020 (Appendix “E”), Mr. Pogil emailed two (2) attachments (annexed hereto as Appendix “F” and “G”). The first file attachment to the email is named: “Invoices to MAVL (Mercedes), 16-16.pdf” and contains seven (7) Invoices, numbered: 18091, 20622, 23343, 23344, 24261, 25551, and 27830. The second attachment to the email is named: “Attempts to Contact Complainants (16-16) Ex. B.pdf” and contains five (5) pages. Neither of these attachments in the email of December 29, 2020 (bates numbered for purposes of this motion as SANCTIONS001-SANCTIONS012) contain an invoice numbered “83636” which Mr. Pogil explains “was provided to you” per his email of January 11, 2021.

Moreover, the first file attachment to the December 29, 2020 email named: “Invoices to MAVL (Mercedes), 16-16.pdf” contains seven (7) Invoices, numbered: 18091, 20622, 23343, 23344, 24261, 25551, and 27830. While these invoices have a reference number of 83636, there is no Invoice numbered 83636 (See Appendix “F” bates numbered SANCTIONS001-SANCTIONS007).

Again, as stated above, in Mr. Pogil’s email of January 11, 2021 on behalf of MTL (Appendix “C”), Mr. Pogil explained as follows:

Reference is also made to Invoice # 83636 that was provided to you ***that lists Car Express as the Shipper with respect to the Mercedes. I also believe Car Express paid to MTL the storage charges for the Mercedes*** that was abandoned by your client, which also goes to how Car Express can be the PPII. My client was away and will be back in the office tomorrow, so they will take a look...

The foregoing statement by counsel is deeply troubling and is further evidence of MTL’s fraud upon the Commission in that on February 28, 2014, in the matter of MAVL, *supra*, then pending in the U.S. District Court for the Eastern District of New York, Mr. Solovyev executed a Declaration, under penalty of perjury, wherein he represented to the Court that “Car Express and Royal Finance Group were not involved with the 2006 Mercedes SL65”. That Declaration is annexed hereto as Appendix “BB”.

Additionally, and as explained above, the invoices attached to the December 29, 2020 email have been newly created, are false, and were done so in order to defraud the Commission inasmuch as MTL has forgotten due to the passage of time that it previously provided these documents to the Court in 2013.

Further, and to the extent that the invoices attached to the December 29, 2020 email have been newly created, are false, and were never produced in the history of the parties dealings over the last eight (8) years, complainants ask the Presiding Officer to take note of the recent Certification signed by Alla Solovyeva and Aleksandr Solovyev on January 11, 2019 in the

matter of World Express, *supra* (annexed hereto as Appendix “V”). That Certification was signed by Alla Solovyeva and Aleksandr Solovyev on behalf of MTL in compliance with two separate Court Orders issued by Magistrate Judge Michael A. Hammer on May 21, 2018 and January 9, 2019, copies of which are annexed hereto as Appendix “W” and “X”.

The May 21, 2018 Court Order directed MTL to produce: a) any correspondence in its possession with Andrey Tretiukov referring to the 2006 Mercedes and 2011 Porsche, by June 11, 2018; and b) any documents and correspondence relating to payments made for services performed in connection with the Mercedes and Porsche by June 11, 2018. (See Appendix “W” at ¶¶ 13 and 15).

The January 9, 2019 Court Order directed MTL to provide a Certification, on or before January 17, 2019, that any documents provided pursuant to the May 21, 2018 Court Order “...are all documents found after a complete and thorough search...” and that if no responsive documents are found, to certify that “...after a complete and thorough search, no responsive documents exist...” (See Appendix “X”).

In the January 11, 2019 Certification, Alla Solovyeva and Aleksandr Solovyev both certified that: “...after a complete and thorough search, no additional responsive documents exist, other than what was previously provided to date”. A copy of this Certification is annexed hereto as Appendix “V”.

As stated above, Mr. Pogil’s January 11, 2021 email states that:

Reference is also made to your document #DEF0756-0757 along with the attachment.²⁴

²⁴ Mr. Pogil is referring to documents produced in the matter of World Express, *supra* (copies of which are annexed hereto as Appendix “H”, which include an email from MTL to complainants, dated August 14, 2015, enclosing an MTL Invoice No.: 24141 (bates numbered DEF0758). With regard to these documents, the Presiding Officer is asked to note that even as of August 14, 2015, long after the subject Porsche was already in Dubai, that MTL continued to seek storage charges from lawful owner of the Porsche (to wit: MAVL Capital, Inc.) for a time period including when the Porsche was still stored at the Auto Action which sold the Porsche to complainants.

In the first instance, this email was previously produced during discovery in the matter of World Express, *supra* -- again, there is nothing new here and nothing which is responsive to the Presiding Officer's December 10, 2020 Order. None of the foregoing is responsive to the December 10, 2020 Order requiring MTL to provide "proof" that the MTL Itemized Invoices were provided to complainants and that MTL provide evidence regarding the manner in which Car Express & Import Inc. became the exporter, shipper and USPPI of the Mercedes.

Additionally, the invoice attached to the August 14, 2015 email purports to charge storage charges for time when the Porsche was still stored at the Auto Auction which sold the Porsche to complainants (during which time the Porsche was still not yet stored at MTL's warehouse.

The January 13, 2021 Email from MTL

In MTL's email of January 13, 2021 (Appendix "D"), Mr. Pogil explained as follows:

Attached is what was found so far in relation to the Porsche... The invoice was changed to Middle East Asia when they agreed to cover the storage.

The attachment to Mr. Pogil's January 13, 2021 email is annexed hereto as Appendix "Y".²⁵

Up front, MTL's email of January 13, 2021 does not respond to the Presiding Officer's directive to provide MTL Itemized Invoices for warehouse storage to Complainants for storage of the Mercedes, Porsche or the directive that MTL provide evidence regarding the manner in which Car Express & Import Inc. became the exporter, shipper and USPPI of the Mercedes. As explained above, Middle East Asia Alfa has no relation to complainants and the invoice to Middle East Asia Alfa is not an invoice to complainants.

²⁵ Again, as stated above, in the January 11, 2019 Certification, Alla Solovyeva and Aleksandr Solovyev both certified that: "...after a complete and thorough search, no additional responsive documents exist, other than what was previously provided to date". (See, Appendix "V").

Second, as explained above, the “new” invoice that was allegedly “...changed to Middle East Asia when they agreed to cover the storage...” is a document which was never previously produced ***because it never existed before today*** - - that is a fact which is confirmed by the Certification of Alla Solovyeva and Aleksandr Solovyev mentioned above. As explained throughout the record in these proceedings, the creation of false documents used to defraud shippers, U.S. Customs and Border Protection Officials, the United States Government, and this Commission, is part of the MTL’s regular custom and practice and the regular manner in which MTL conducts business.

Further, and as stated earlier in this brief, it appears that MTL has gone so far down the rabbit hole of lies and creation of false documents that Solovyeva and Solovyev have forgotten, due to the passage of time, about the fact that Middle East Asia Alfa (referred to by Mr. Pogil as “Middle East”) never received Invoice 347110 from MTL via Royal Finance Group, Inc. (owned by Solovyev) nor did Middle East Asia Alfa ever purchase the Mercedes from MTL. (See, Certification of Alexander Safonov, dated April 13, 2016 at ¶ 6, a copy of which is annexed hereto as Appendix “Z”). That Certification also explains that Middle East Asia Alfa did not purchase the Porsche from MTL. (See, Appendix “Z” at ¶ 11).²⁶

Per Mr. Safonov’s Certification:

With specific regard to the Porsche, I wish to inform the Court that similar to the Mercedes, MEAA did not purchase this vehicle from the defendants herein. (See, Appendix “Z” at ¶ 11).

At third-party defendants direction and request, MEAA performed the customs clearance for these vehicles, paid customs duties, repaired and stored these vehicles. At third-party defendants’ direction and request, MEAA paid \$50,000 for the customs duties, repair and

²⁶ Per the Presiding Officer’s Initial Decision of June 17, 2016 in the matter of *Crocus Investments, LLC v. Marine Transport Logistics, Inc. et al.* (FMC Docket No.: 15-04), Mr. Safonov is the co-owner of Middle East Asia Alfa, FZC (“Middle East Asia”), not a party to this proceeding, and had decision-making rights for the company. See, Id. at p. 10, FF#’s 5 and 7.

storage of the vehicles, which Aleksandr Solovyev and MTL promised to repay. (See, Appendix “Z” at ¶ 12).

Last, and on the issue of Mr. Pogil’s email of January 13, 2021 with the MTL Invoice (Reference No.: 84318, Invoice No.: 27833) for storage charges allegedly accruing for storage of the subject 2011 Porsche Panamera in the sum of \$1,060.00, as well as the MTL Payment Receipt, dated June 11, 2013 in the sum of \$1,060.00, both of which were attached to Mr. Pogil’s email January 13, 2021, on January 26, 2021, Mr. Safonov executed a Declaration, a copy of which is annexed hereto as Appendix “AA”. That Declaration explains, in relevant part, as follows:

- “4. I have reviewed the MTL Invoice (Reference No.: 84318, Invoice No.: 27833) for storage charges allegedly accruing for storage of the subject 2011 Porsche Panamera in the sum of \$1,060.00, as well as the MTL Payment Receipt, dated June 11, 2013 in the sum of \$1,060.00, both of which were attached to Mr. Pogil’s email January 13, 2021 and which were forwarded to me by Mr. Nussbaum.
5. I can state with certainty that I have never seen these documents before that MEAA never agreed to pay the sum of \$1,060.00 to MTL for storage of the Porsche and that MEAA never paid these monies. These documents were never provided to MEAA.
6. I also find it interesting that the Storage Invoice for the Porsche, dated April 20, 2013, purports to be for storage charges between May 8, 2013 and August 21, 2013, and the payment receipt, dated June 11, 2013 indicates a payment of \$1,060,00 for storage during that time period. It would appear that MTL believed that I may have been a clairvoyant with a crystal ball, and that I knew in advance exactly how much time the Porsche allegedly needed to remain in storage up to August 21, 2013 (again, reminding the Presiding Officer that I never requested MTL to store the Porsche on my behalf in that MTL claimed to have owned this car).
7. It appears that while MTL is still unable to break away from its long-standing addiction to creating fake documents for use in legal proceedings in order to deceive the Presiding Officer, that MTL’s lies have finally caught up to them and that MTL has started forgetting about other documents on the record, which it previously produced and which prove the above documents to be fake.”

CONCLUSION

As set forth at length herein, MTL's has failed to comply with the December 10, 2020 Order of the Presiding Officer to produce proof that the MTL Itemized Invoices for storage of the Mercedes and Porsche were ever provided to complainants. Further, MTL has failed to respond to the Presiding Officer's directives to provide all documents, emails, writings, notes, receipts, correspondence and the like identifying, indicating, or otherwise demonstrating the manner in which Car Express & Import Inc. became listed as the exporter and U.S. Principal Party in Interest ("USPPI") for the Mercedes.

Instead, MTL has willfully and contumaciously flouted the Presiding Officer's directives, and in lieu of complying with those directives, MTL continues on its regular course of conduct of weaving a pattern of lies, deceit, creating of false documents and evidence in a continued campaign of fraud on the Commission and upon the shipping community - - except this time, MTL's fraud has been exposed. Due to the passage of time, the inconsistencies in MTL's various document productions and asserted defenses have been forgotten by MTL and as stated above, one who lies continuously will eventually lose track of those lies and will eventually be exposed. For the foregoing reasons, complainants respectfully request that the Commission grant the relief requested herein.

WHEREFORE, Complainants request that their instant motion, pursuant to FMC Rule 502.150(b), 46 C.F.R. 502.150(b), be granted in its entirety and that the Presiding Officer issue an Order as follows:

- a. Directing that it be established as a matter of fact for the purposes of this litigation that MARINE TRANSPORT LOGISTICS, INC. ("MTL") never provided any MTL itemized invoices for warehouse storage to Complainants for storage of the Mercedes and Porsche which are the subject of this action (with the sole exception being with regard to the Mercedes which was a copy of a final Invoice No.: 24261 for storage of the Mercedes for the period of May 4, 2013 to June 5, 2013 in the amount of \$150.00 [document Bates No.: DEF0271 identified below]);

- b. Directing that it be established as a matter of fact for the purposes of this litigation that MTL unlawfully listed Car Express & Import Inc. as the exporter and U.S. Principal Party in Interest (“USPPI”) for the export of the Mercedes in shipping documents prepared by MTL, including but not limited to invoices, MTL House Bills of Lading, and a Shipper’s Export Declaration filed by MTL with the U.S. Customs and Border Protection;
- c. Directing that it be established as a matter of fact for the purposes of this litigation that MTL having listed Car Express & Import Inc. as the exporter and USPPI for the export of the Mercedes is proof of and establishes that the unjust and unreasonable acts of MTL complained of herein occurred on a normal, customary, and continuous basis, as required under the section 41102(c) interpretive rule. 46 C.F.R. § 545.4; Final Rule, 83 Fed. Reg. at 64479;
- d. Prohibiting MTL from supporting, with documentary evidence (via an Order of Preclusion), its defenses to complainants’ claims that, at the very least, MTL misdelivered complainants’ Mercedes and Porsche to Dubai, and at the worst, unlawfully exercised a maritime lien on the cars for ocean freight and other charges unrelated to the export of the Mercedes and Porsche, in violation of 41102(c) of the Shipping Act;
- e. Precluding MTL from introducing into evidence an email from MTL’s counsel, dated December 29, 2020 and the attachment to said email “Invoices to MAVL (Mercedes), 16-16.pdf” which contains seven (7) Invoices, numbered: 18091, 20622, 23343, 23344, 24261, 25551, and 27830”;
- f. Precluding MTL from introducing into evidence two emails from MTL’s counsel, dated January 11, 2021 and January 13, 2021 together with the attachments to said emails;
- g. Striking MTL’s Answer to the Complaint, and directing complainants to file a Motion for a Default Judgment against MTL;
- h. Revising the briefing schedule set forth in the December 10, 2020 Order for the filing of the parties’ briefs on remand, in order to to allow for time to file briefs on remand which does not conflict with the Presiding Officer’s recent briefing schedule for conduct of discovery which involves the same counsel herein and who represent the parties in the matter of *Nnabugwu Chinedu Andrew et al. v. Marine Transport Logistics Inc., et al.*, (FMC Docket No.: 20-12); and
- i. Staying further proceedings with regard to complainants’ claims against respondent Dimitry Alper.

Dated: January 27, 2021
Brooklyn, NY

Respectfully Submitted,

/s/ Marcus Aurelius Nussbaum
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Brooklyn, NY 11224
Tel: 201-956-7071
Fax: 347-572-0439
Attorney for Complainants
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' MOTION FOR DISCOVERY RELATED SANCTIONS AND OTHER RELIEF DUE TO RESPONDENTS' FAILURE TO COMPLY WITH THE DIRECTIVES OF THE PRESIDING OFFICER and APPENDIX** upon Respondents' Counsel at the following address:

Garry Pogil, Esq.
112 West 34th Street, 18th Fl.
New York, NY 10120

Law Office of Peter Cipparulo, III, LLC
346 Route 206, Ste. K
Hillsborough, New Jersey 08844

by email to: PeterCipparulo@cipplaw.com, and garry.pogil@gmail.com.

/s/ Marcus Aurelius Nussbaum
Marcus A. Nussbaum, Esq.
Mailing Address: P.O. Box 245599
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